to 3 per cent at the time (1997–98).[60]

(iii) The RBI Governor ***C. Rangarajan*** advocated that the inflation rate must come down initially to 6 to 7 per cent and eventually to 5 to 6 per cent on an average over the years.[61]

(iv) The ***Tarapore Committee*** on Capital Account Convertibility recommended an acceptable range of 3 to 5 per cent inflation for the three year period (1997–98 to 1999–2000).[62]

In the recent times (June 2003 onwards) the Government/the RBI has maintained a general policy of keeping inflation below 5 per cent mark—at any cost—as if fixing 4 to 5 per cent as the healthy range of inflation for the economy.[63]

The medium-term objective (i.e. target) of the Government is to keep inflation in the 4–4.5 per cent range.[64] One thing should be kept in mind that inflation has always been a political matter in the country. Every time the RBI tried to check the rising inflation via monetary measures a majority of experts objected to it by calling it a move to sacrifice growth for lower price levels. A tighter monetary policy decelerates investment and growth, hampers the growth prospects of the middle class in general and the entrepreneurs in particular while the wage-earners as well as the poor segment of society feels relieved (at least in short term).

GOVERNMENT/RBI STEPS TO CHECK INFLATION (2012-13)

Rising prices remained in news through out this financial year, too. In recent times, the GoI/RBI took the following steps to check the inflation from rising *(Economic Survey 2012-13, p.93)* –

1. Fiscal Measures

i. Import duties for wheat, onions, pulses, and crude palmolein were reduced to zero and 7.5 per cent for refined vegetable & hydrogenated oils.